(15) Income Taxes

Loss before income tax expense for the year ended December 31, 2011 was $8,729,693 and $1,990,084 for the United States of America and the State of Israel, respectively.

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WAVE SYSTEMS CORP. AND SUBSIDIARIES

Notes to Consolidated Financial Statements (Continued)

(15) Income Taxes (Continued)

Income tax expense attributable to income from continuing operations for the years ended December 31, 2011, 2010 and 2009 consisted of:

	2011	2010	2009
Current income tax expense:			
Federal	—	—	—
State	74,959	72,782	—
Foreign	—	—	—
	74,959	72,782	—
Deferred income tax expense:			
Federal	—	—	—
State	—	—	—
Foreign	—	—	—
	—	—	—
Total income tax expense	$ 74,959	$ 72,782	$ —

The following table summarizes the significant differences between the United States federal statutory tax rate and the Company's effective tax rate for financial statement reporting purposes:

	2011	2010	2009
Statutory tax rate	34%	34%	34%
Stock-based compensation on ISO's	(17)	(8)	(18)
State tax, net of federal benefit	(1)	(2)	—
Change in valuation allowance	(17)	(26)	(16)
Total	(1)%	(2)%	—%

The tax effects of temporary differences that give rise to the net deferred tax asset at December 31, 2011 and 2010 are as follows:

	2011	2010
Deferred tax assets:		
Net operating loss carryforwards	$ 97,696,000	$ 96,004,000
Accrued expenses	2,110,000	791,000
Intangibles	282,000	286,000
Reserves	854,000	896,000
Depreciation	105,000	345,000
Net deferred tax assets	101,047,000	98,322,000
Less valuation allowance	(98,402,000)	(98,322,000)
Deferred tax assets	2,645,000	—
Deferred tax liabilities:		
Acquired intangible assets	(2,645,000)	—
Net deferred tax assets (liabilities)	$ —	$ —

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(15) Income Taxes (Continued)

The valuation allowance increased by approximately $80,000 during the year ended December 31, 2011 decreased by approximately $3.5 million during the year ended December 31, 2010.

Significant management judgment is required in determining any valuation allowance recorded against deferred tax assets and liabilities. At December 31, 2011 and 2010, Wave's historical operating results, its cumulative loss positions and uncertainty surrounding its forecasts, led management to conclude that a valuation allowance of $98,402,000 and $98,322,000, respectively, is needed to offset its deferred tax assets. Subsequently reported tax benefits relating to the valuation allowance for deferred tax assets as of December 31, 2011 will be allocated as follows: $97,662,000 to continuing operations and $740,000 to additional paid-in capital for amounts attributable to exercise of employee stock options.

Wave has federal and state net operating loss carryforwards of approximately $276.3 million, which expire beginning in 2012 through 2031 and include approximately $7.2 million of net operating loss carryforwards of Safend, Inc., a wholly owned US-based subsidiary of Safend. Pursuant to Section 382 of the Internal Revenue Code, the annual utilization of Wave's net operating loss carryforwards may be substantially limited if a cumulative change in ownership of more than 50% occurs within any three-year period. Wave has not determined whether there have been such cumulative changes in ownership or the impact on the utilization of the loss carryforwards if such changes have occurred. However, in considering Section 382 of the Internal Revenue Code, Wave believes that it is likely that such a change in ownership has occurred thus raising the likelihood that such net operating and capital loss carryforwards are subject to annual limitations.

Safend's undistributed earnings were $-0- at December 31, 2011. As at December 31, 2011, cash and cash equivalents held by our foreign subsidiary was approximately $0.9 million. These funds are not available for domestic operations unless the funds are repatriated. If the Company planned to or did repatriate these funds then U.S. federal and state income taxes would be incurred. We currently have no plans and do not intend to repatriate any of our undistributed foreign funds. The foreign funds will be permanently reinvested and used for foreign operations.

The following table summarizes the activity related to the Company's gross unrecognized tax benefits at December 31, 2011, 2010 and 2009:

	2011	2010	2009
Balance at beginning of year	$ 0	$ 5,165,535	$ 11,353,354
Increases related to current tax positions	0	0	0
Decreases related to prior year tax positions	0	(5,165,535)	(6,187,819)
Balance at end of year	$ 0	$ 0	$ 5,165,535

The unrecognized tax benefits, if recognized, would not have affected the Company's effective tax rate because the Company has recorded a full valuation allowance against its net deferred tax assets. The decreases related to prior year tax positions are attributable to an amendment to tax deductions previously taken on the Company's tax returns.

The Company's policy is to recognize interest and penalties related to unrecognized tax benefits as a component of income tax expense. The Company files United States Federal and state income tax returns. In general, the statute of limitations with respect to the Company's United States Federal income taxes has expired for years prior to 2007, and the relevant state statutes vary. However, preceding years remain open to examination by United States Federal and state taxing authorities to

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the extent of future utilization of net operating losses and capital losses generated in each preceding year. The Company does not anticipate that the total unrecognized tax benefits will change significantly prior to December 31, 2012. As described above, utilization of the Company's loss carryforwards may be limited pursuant to Section 382 of the Internal Revenue Code. Any limitation may result in expiration of a portion of the net operating and capital loss carryforwards before utilization. Until a study is completed and any limitation known, no amounts are being presented as an uncertain tax position.